8 PER CENT | **Estimated rise in gas import bill from a sustained $1 per MMBtu increase**



AFP

sel has been hiked by Rs 21.92 per litre, a 25 per cent increase. Premium petrol prices have been increased by Rs 2 per litre, though broader retail fuel prices remain unchanged—for now.

What is being done

On March 10, the Centre invoked the Essential Commodities Act to regulate gas production and distribution. A four-tier priority system now directs supply first to households, transport fuel, LPG production and pipeline operations, followed by fertilisers, with industrial and commercial users at the bottom. "Refiners are now producing 30–40 per cent more LPG than earlier," says Vasisht, "but there is a limit to how much the capacity can be increased."

On imports, India initiated talks with Iran to allow passage of its vessels. As of mid-March, two tankers—*Shivalik* and *Nanda Devi*—had crossed, carrying over 92,000 tonnes of LPG. On March 24, Iran allowed all "non-hostile" ships to transit the strait, albeit under strict "coordination". A 30-day waiver from the US for Indian refiners to purchase

"AS MUCH AS 60 PER CENT OF THE LPG SUPPLY IN INDIA HAS BEEN DISRUPTED. REFINERS ARE PRODUCING 30–40% MORE LPG, BUT THERE IS A LIMIT TO HOW MUCH THE CAPACITY CAN BE INCREASED"

— PRASHANT VASISHT, *Senior VP and Co-Group Head, Corporate Ratings, ICRA*

Russian oil has also enabled a ramp-up in imports. On March 22, *Aqua Titan*, carrying 110,000 tonnes of Russian crude, docked at Mangaluru port.

What more needs to be done

India's strategic petroleum reserves cover about 74 days of consumption, below the 90-day benchmark recommended by the International Energy Agency. That gap reduces the room for manoeuvre if disruptions persist. Fuel substitution capacity remains constrained. While LPG connections number around 330 million, only 16.5 million households have access to piped natural gas. Bridging that gap will require a far more aggressive scale-up of PNG networks. Over the longer term, say experts, reducing reliance on fossil fuels will need a decisive scale-up of alternative sources. ■

THE OIL SURGE

Global oil markets tighten as supply disruptions drive a sharp price surge

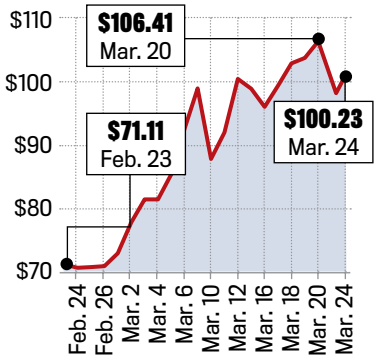


INDIA'S WORRIES

Pressure is building on oil headed to India, with import costs rising sharply

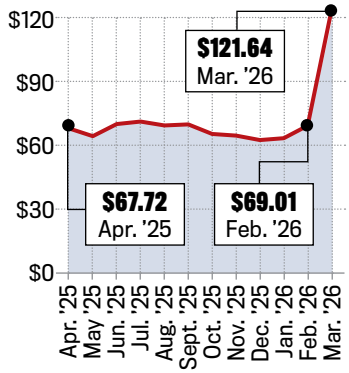
BRENT CRUDE PRICES

(per barrel; day's average)



INDIAN BASKET (FOB*)

(per barrel; month's average)



**FOB stands for Free on Board, i.e. the price of goods at the export port, excluding shipping and insurance*

↘ **Industrial diesel, sold in bulk to commercial establishments, sees a 25 per cent hike; premium petrol prices at filling stations up Rs 2 per litre**

↘ **A sustained $10 per barrel increase will add $14 billion, or 10 per cent, to India's $137 billion crude import bill. Gas shows similar sensitivity**

Graphics by TANMOY CHAKRABORTY